



STRATEGY TRACK | ROUND 2

FROM CARD TO COMPANION

TEAM NAME: Thinkers

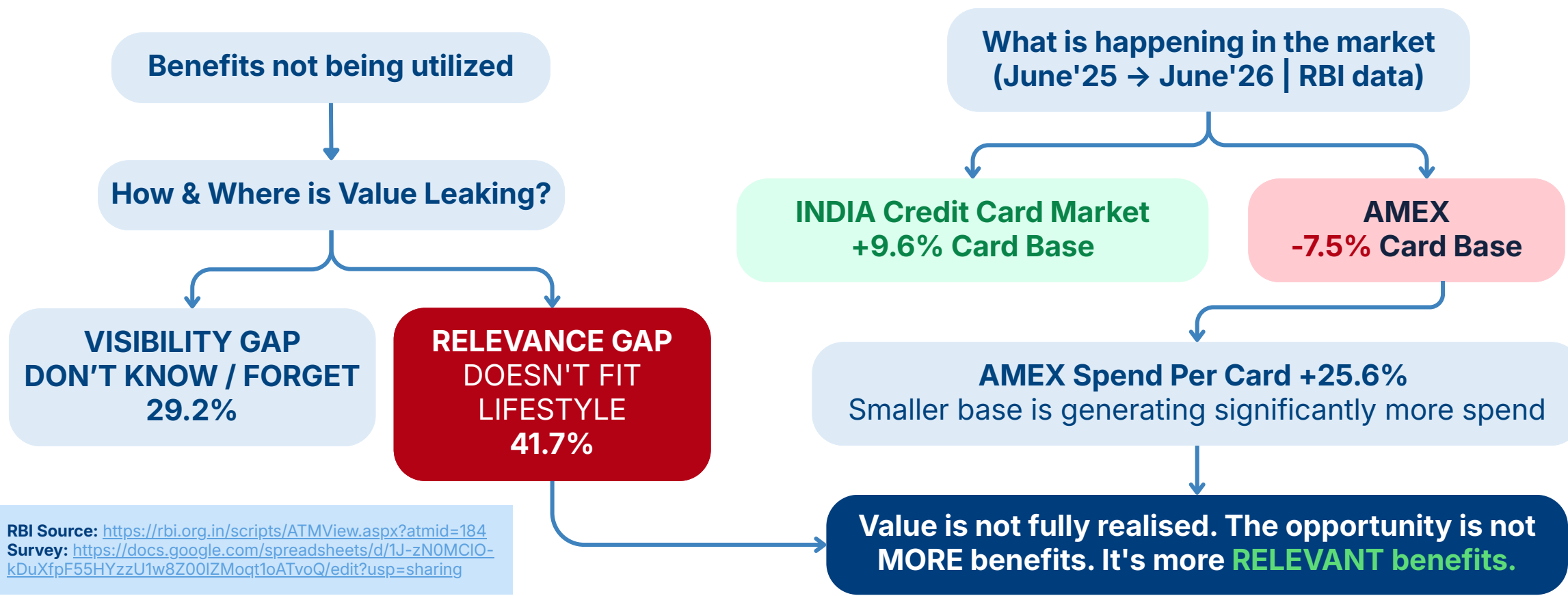
PARTICIPANT NAME	EMAIL ID (Official)	INSTITUTE
Vansh Bhandari	v.bhandari@iitg.ac.in	IIT Guwahati
Muskan	muskan.4063@iitg.ac.in	IIT Guwahati
Shlok Suraiya	s.shlok@iitg.ac.in	IIT Guwahati



Insights From Our Own Conducted Surveys

Benefits Left Unrealized		Why Benefits are being Unused		Implication
68%	Did not use Golf	41.7%	Benefit didn't fit their lifestyle	Relevance Gap: Benefits don't fit every customer
48%	Did not use Airport Transfers	29.2%	Too much effort to plan around	Potential benefit value ≠ realized value
48%	Did not use Travel Insurance	29.2%	Forgot it existed	Wallet Share: Unused value creates room for competitors

Root Cause Analysis



Identified Problem

The Premier Card is built for the 4 days a year our members travel not the 361 they live. Travel and airport benefits carry the card's value proposition, but less than a quarter of member wallet sits in lifestyle categories. The rest in dining, retail, mobility, health, earns points but unlocks nothing. Perks like golf go unredeemed for structural reasons, not disinterest. And with no view of what's left on the card, members can't see the value they've already paid for.

Opportunity

- Lifestyle remains an underpenetrated spend category for AMEX cardmembers.
- A significant lifestyle wallet remains untapped beyond AMEX's travel-led proposition.
- Many existing card benefits remain unused, limiting their value to customers.

RELEVANCE

41.7% cited lifestyle mismatch. Value depends on customer relevance, not benefit breadth.

WALLET

Premium customers already optimize across cards. Unused Amex value can leave room for competitors

REALIZATION

39.1% of respondents felt they received ≤ annual-fee value excluding base rewards. The benefit portfolio should adapt to the customer's needs.

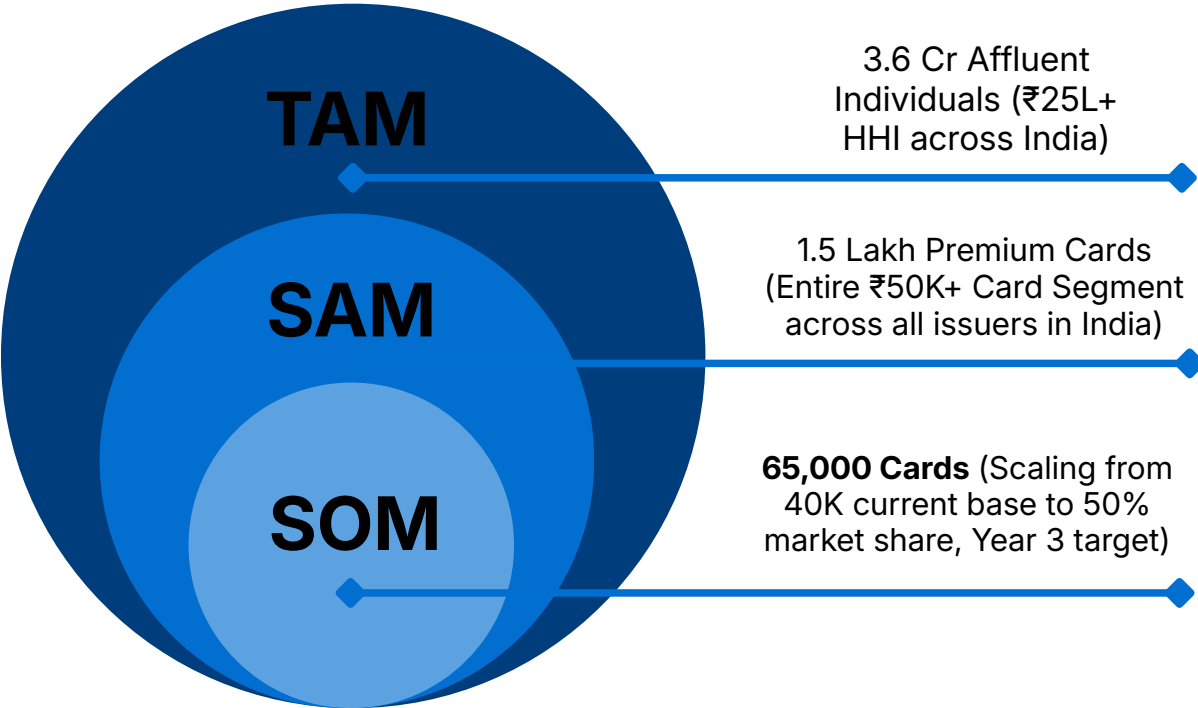
THE ONE OPPORTUNITY

"Make premium benefits fit the customer"

Source: Amex Annual Report

Market Sizing

TAM | SAM | SOM



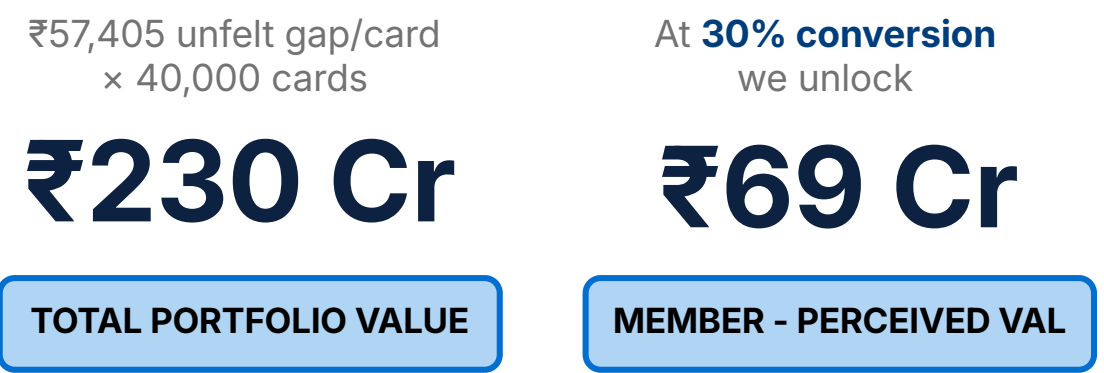
Why SAM is this narrow, and why that's good news, not bad:

Card	Fee	Access	Verdict
The Premium Card	₹50–70K	Open	The only reachable card in the band
HDFC Infinia	₹12,500	Invite-only	Mass-premium tier; 1/5th the price
Axis Primus	₹3,000,000	Invite-only	UHNW segment; 5x–6x our fee
Centurion (Amex)	Exclusive	Invite-only	Internal aspirational upsell path

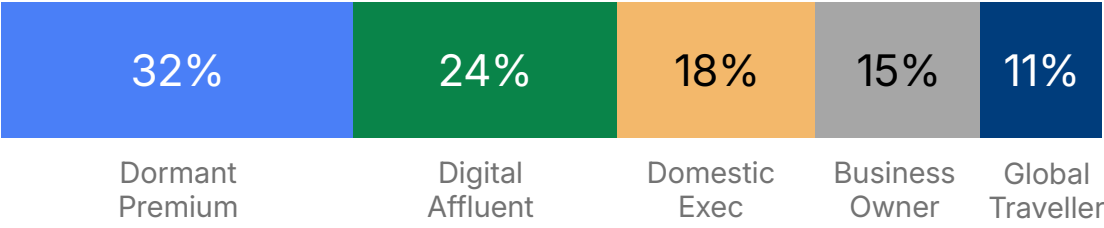
There is no open-application card between ₹50K and ₹3L except ours (The given card and Amex Platinum Charge Card). We don't have an acquisition problem; we have a portfolio activation problem.

Sources:
<https://www.sec.gov/Archives/edgar/data/4962/000000496226000080/axp-20251231.htm>
<https://rbi.org.in/scripts/ATMView.aspx>

The Asset We're Sizing

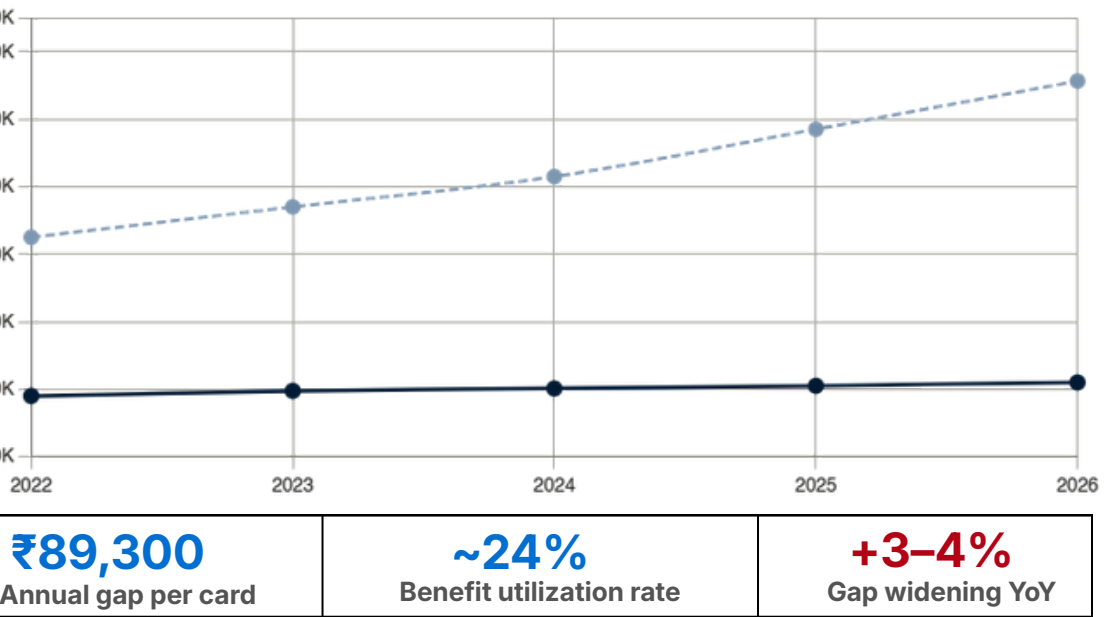


Where the ₹230 Cr sits by archetype?



Why Now? Three Forces Converging

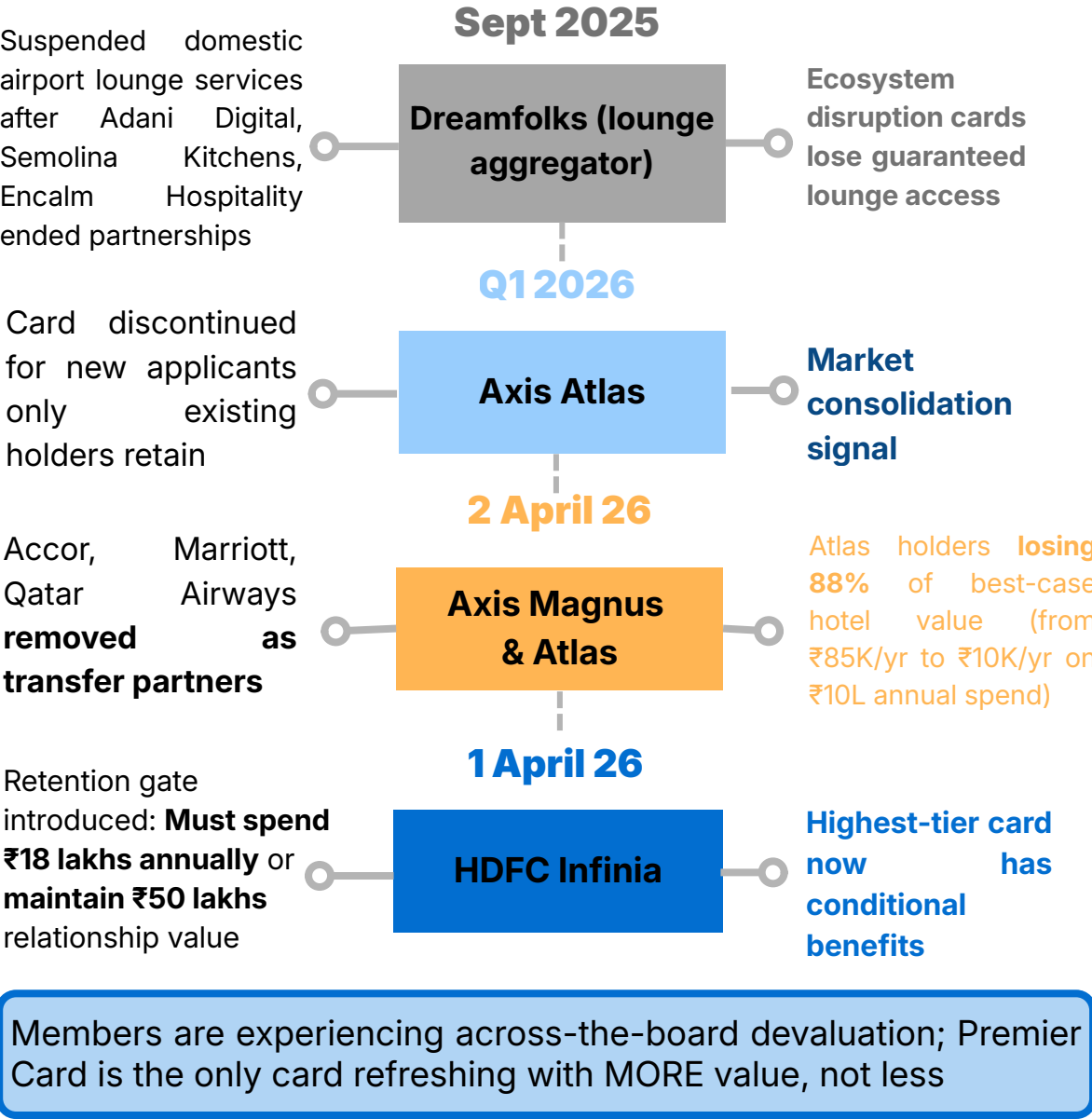
01. Gap (₹89.3K unused value widening)



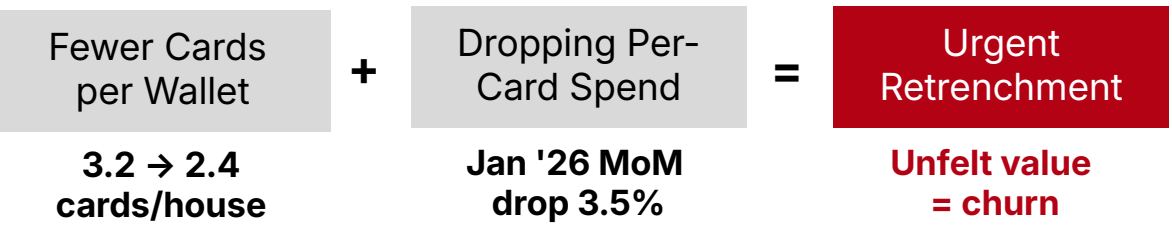
Why Now?

Three Forces Converging

02. The devaluation wave - Most Timely Anchor



03. Macro Wallet Consolidation Squeeze



New Benefit Stack: Built around measured utilization gaps

₹53,200

Face Value Delivered

₹13,849

Issuer Net Cost

3.48x

Leverage (Face ÷ Cost)

₹6,151

Headroom vs ₹20K Ceiling

Layer 2: Always On (100% of card base)

Benefit	What is does
Value Ledger	Real-time in-app tracker showing value used vs total, auto-enrolled, warns 90 days before renewal on unused value
Progressive Milestone Ladder	Replaces the ₹20L cliff with vouchers at ₹5L, / ₹10L, / ₹15L, / ₹20L spend. Redeemable at Taj Postcard. Ajo Luxe, Ethos
Big-Ticket Digital Advantage	Pre-approval badge for ₹5L. Online purchases, 180 - day extended purchase protection, price-drop protection

Layer 3: Choice Modules (4 active, 2 in reserve)

Benefit	What is does
Premium Ground Mobility	Discounted Uber Black rides, priority matching, advance booking, chauffeur bookings
Culinary Access	Held tables at ~100 top restaurants , monthly dining credit, 4 exclusive chef's-table dinners/year
Luxury Digital Retail	Monthly budget across luxury platforms, early access to drops , DHL-managed international buying
Preventive Health	2 comprehensive health panels/year , home collection, 10 teleconsults/year, concierge second opinions
Culture & Events	Pre-sale ticket windows , priority access to marquee venues/festivals, event credits
Premium Household Services	Monthly home-services credit, deep cleaning , AMC, pest control, luxury laundry

Benefit Exchange Engine

We let customers realize more of the benefits Amex is already paying to offer."

Layer 1: Customer Relevance

$R_{ij}=P(\text{customer uses benefit}_i)$

Customer spends on luxury

40% predicted usage

Customer spends on entertainment

60% predicted usage

Layer 2: Customer Value

$CV_{ij}=\text{Benefit Value}_j \times R_{ij}$

Customer-facing value = ₹12,000

Expected Amex cost = ₹3,960

Customer-facing value = ₹9,700

Expected Amex cost = ₹2,200

Layer 2: Customer Value

$AEC_{ij}=R_{ij} \times \text{Cost}_{ij}, AEC_{new} \leq AEC_{old} + \epsilon$

40% x ₹3,960 = Expected Cost

~₹1600

60% x ₹2,200 = Expected Cost

~₹1300

Model

Exchange is budget-neutral by design

Expected Cost_{new} ≤ Exchange Budget_{old}

EXCHANGE

- Customer swaps a low-relevance benefit for a high-relevance one.
- The customer doesn't exchange face value for face value, they exchange for what they'll actually use.

COST GUARDRAIL

- Every exchange must stay within the original benefit's expected cost.
- Entertainment selected only if its expected cost ≤ ₹1,600 → 60% × ₹2,200 ≈ ₹1,300 ✓
- If no suitable benefit fits → no exchange

AMEX WIN

- Same benefit economics → higher customer realization
- Expected cost to Amex also drops (~₹1,600 → ~₹1,300)
- Customer ends up with a benefit they're actually likely to use

Vendor Benefit

High Intent Customers + Better Targeting

Measurable ROI

"Friction = Intent" Exchange becomes the intent signal

Pay for realized engagement, not blanket distribution

Retention Loop

```
graph LR; A[Customer Spends] --> B[Benefit Usage Analysis]; B --> C[Unused Benefits Found]; C --> D[Benefit Exchange]; D --> E[Renewal]; E --> A;
```

Opportunity Diagnosis

Opportunity Sizing

Strategy & Benefits Design

Customer Value Story

Business Impact Flywheel

ROI / Value Economics

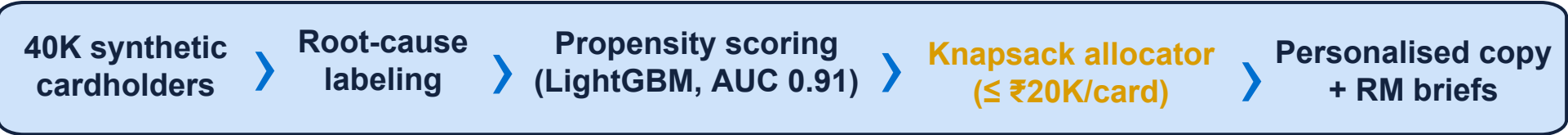
STRATEGY & BENEFITS DESIGN: Solving the Visibility Gap



Benefit Utilisation Engine

Who Gets What, and Why

Classical ML computes the recommendation; the LLM only writes the member-facing copy.



1. INPUTS & DIAGNOSIS

- 40,000 synthetic cardholders
- calibrated to Amex India FY25 financials
- ~3M transaction records modeled over 12 months
- 5 behavioural archetypes · 13 benefits tracked

₹602.5 Cr total benefit gap

- ₹429 Cr addressable (70.6%)
- ₹173 Cr structurally unaddressable (29.4%)

2. ALLOCATION LOGIC

- Budget ceiling:** ₹20,000 per card (hard-cap, PS constraint)
- Committed to design:** ₹13,849 (Layer 2 + Layer 3)
- Headroom for nudges:** ₹6,151/card
- Propensity model:** LightGBM, out-of-fold AUC 0.91
- Validation:** StratifiedGroupKFold → no member scored by a fold that trained on them (leak-proof)
- Nudge cost:** redemption cost + ₹50 delivery, funded only from the ₹6,151 headroom

GREEDY KNAPSACK OPTIMIZER

$$\begin{aligned} &\text{maximize} && \sum_{i=1}^n (\text{Propensity}_i \times \text{Value}_i) \\ &\text{subject to} && \sum_{i=1}^n \text{Cost}_i \leq ₹20,000 / \text{card} \end{aligned}$$

3. MEMBER PROOF

- Archetype:** Underused Premium
- 18% → 64% projected utilisation post-engine

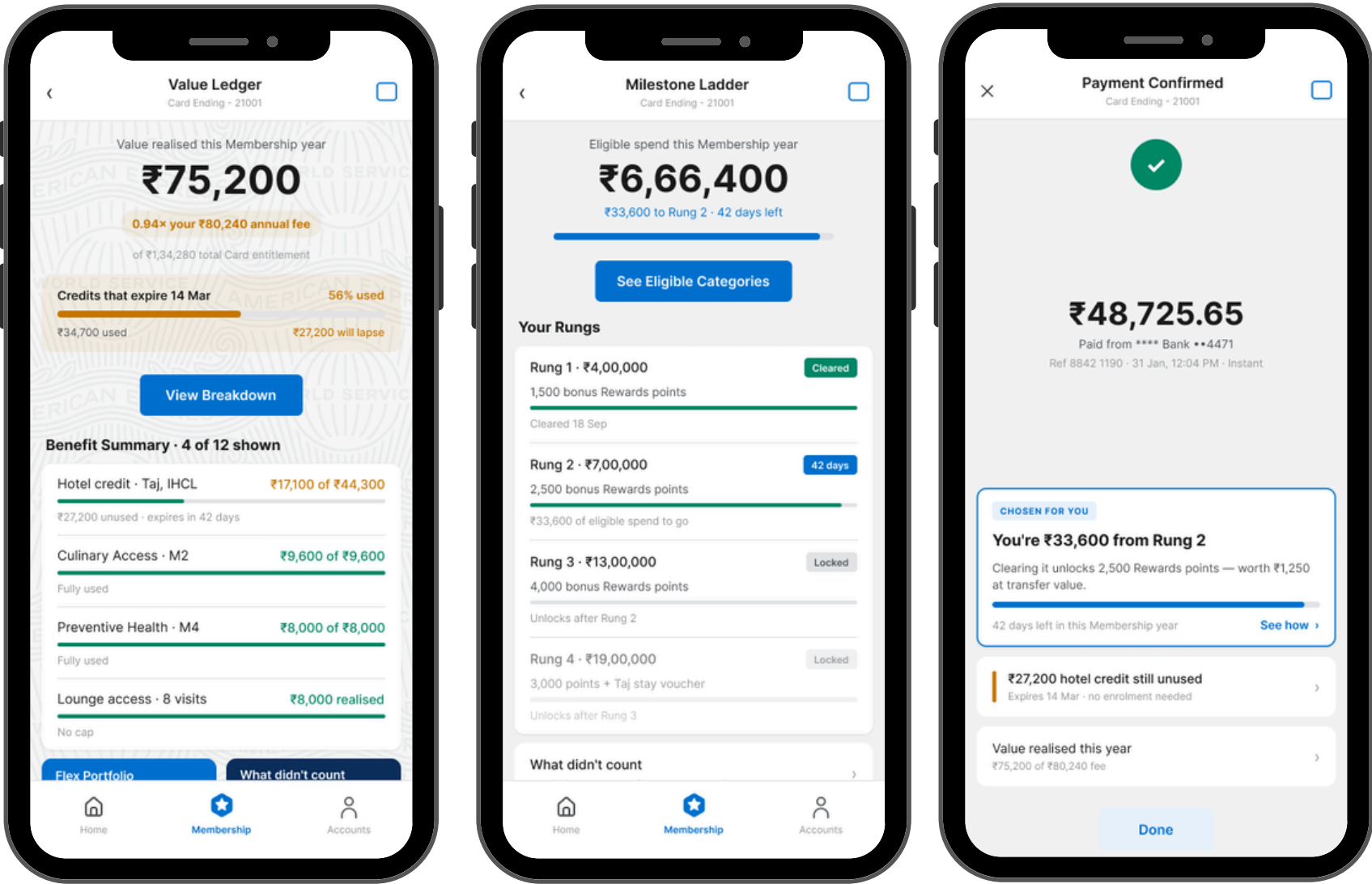
LIVE DASHBOARD
Portfolio · Gap · Propensity · Optimizer · Drilldown · Data Quality

ENGINE-RECOMMENDED (RANKED BY PROPENSITY)

1. Culinary Access (M2)	₹18K face	78% propensity
2. Ground Mobility (M1)	₹14K face	61% propensity
3. Luxury Digital Retail (M3)	₹20K face	52% propensity

Source: <https://rbi.org.in/scripts/ATMView.aspx>

Voice of Customer (VoC) to Product Strategy



Data Highlights (1,000+ Reviews Scraped)

4.3★ Overall rating

but deep-usage dissatisfaction jumps to

36% negative

31 reviews & 280 votes

→ requested spend/milestone trackers

5.6% mention benefits with servicing

→ app functions as a bill portal, not a value engine

Objective: Shift app positioning from a passive billing utility to a proactive Value & Retention Engine

Solution: 8-Screen Product Flow

An interconnected 8-Screen Product Flow (Home, Value Ledger, Benefit Detail, Flex Portfolio, Milestone Ladder, Exclusion Ledger, Smart Nudges, Renewal Preview) addresses key friction points to eliminate spend disputes, accelerate milestone spend, and protect annual renewals via dynamic ROI proof (+₹46,720).



*Research Links

Three archetypes before and after Platinum 365

Value shown = benefit value the member actually consumes, not benefit value printed on the card

A

Aarav Menon

34 · Bengaluru
Product lead · 4 yrs on card

UNDERUSED

₹9.4L annual spend · 1 international trip · 0 golf rounds · dines out 6×/month · rides 18×/month

Today

ROOT CAUSE = IRRELEVANCE

"I'm paying for a travel card and I travel once a year. The rest just sits there."

Value consumed ₹15,436

FEE

of ₹53,700on card

0.29x

value-to-fee at ₹60,000 fee

With Platinum 365

FIX = CHOICE MODULES

Activates M1 Ground Mobility + M2 Culinary Access — the two modules his own transactions predicted

Exchange: 1 unused golf round (₹8,000 issuer cost) → ₹6,000 dining credit

Value Ledger shows a live ₹ counter and warns 90 days before anything expires

Value consumed ₹78,600

FEE

of ₹1,04,900 on card

1.16x

value-to-fee at ₹68,000 fee

M

Meera Iyer

41 · Mumbai
Business owner · 6 yrs on card

MILESTONE

₹17.2L annual spend · ₹1.8L short of the ₹19L milestone · missed it two years running

Today

ROOT CAUSE = TIMING

"Twice I've come close and got nothing. The second year, I stopped trying."

Value consumed ₹36,500

FEE

of ₹53,700 on card

0.68x

value-to-fee at ₹60,000 fee

With Platinum 365

FIX = MILESTONE LADDER

Progressive Milestone Ladder vests vouchers at ₹5L / ₹10L / ₹15L — the ₹19L cliff stops being all-or-nothing

Big-Ticket Digital Advantage pre-approves a ₹2.1L purchase on-card, closing the ₹1.8L gap

Ladder progress is visible in-app all year, not discovered in month 11

Value consumed ₹78,600

FEE

of ₹1,04,900 on card

1.42x

value-to-fee at ₹68,000 fee

R

Rohan Bhatia

48 · Delhi NCR
The persona the card was built for

HIGH / WHALE

₹38L annual spend · 6 international trips · lounge 40×/yr · already a heavy benefit user

Today

ROOT CAUSE = AWARENESS

"I like the card. But at renewal I can't tell you what it gave me — and three rivals are calling."

Value consumed ₹66,600

FEE

of ₹53,700 on card

1.24x

value real, but invisible at renewal

With Platinum 365

FIX = VALUE LEDGER

Layer 1 travel benefits untouched — nothing he already loves is taken away

Adds M4 Preventive Health + Digital-First Concierge; ₹6,151 headroom funds the upgrade

Renewal Preview screen shows the year he actually had — a proof moment, not a price moment

Value consumed ₹1,12,000

FEE

of ₹1,04,900 on card

1.65x

value-to-fee at ₹68,000 fee

Why they Care?

each root cause get a mechanism not a message

1. AWARENESS Value is invisible

Rohan (High) | Value Ledger: Live counter + year-in-review proof at renewal

Data: Auto-enrol converts 47.6% vs claim-based 23.0%

2. IRRELEVANCE — Benefit doesn't match how I live

Aarav (Underused) | Layer 3 Swap: Golf → Culinary + Mobility

Data: ₹8K golf cost freed, redeployed to daily-use modules

3. TIMING — I miss the milestone cliff

Meera (Milestone) | Milestone Ladder: ₹5L→₹2K | ₹10L→₹4K | ₹15L→₹6K | ₹20L→₹35K

Data: 3 wins per year instead of zero

4. FRICTION — Claiming benefits is work

All three | Auto-enrol + Digital Concierge: Day 1 auto-on, WhatsApp not calls

Data: 2× conversion rate (47.6% vs 23.0%)

Why they stay?

renewal intent & attrition impact

RENEWAL BEFORE - ₹60K fee

"Did I travel enough to justify the fee?"

"What was the actual value I got?"

"Competitor is offering ₹10K welcome bonus..."

RENEWAL AFTER - ₹68K fee

"Look, here's what I used: ₹__ in benefits + ₹__ in rewards."

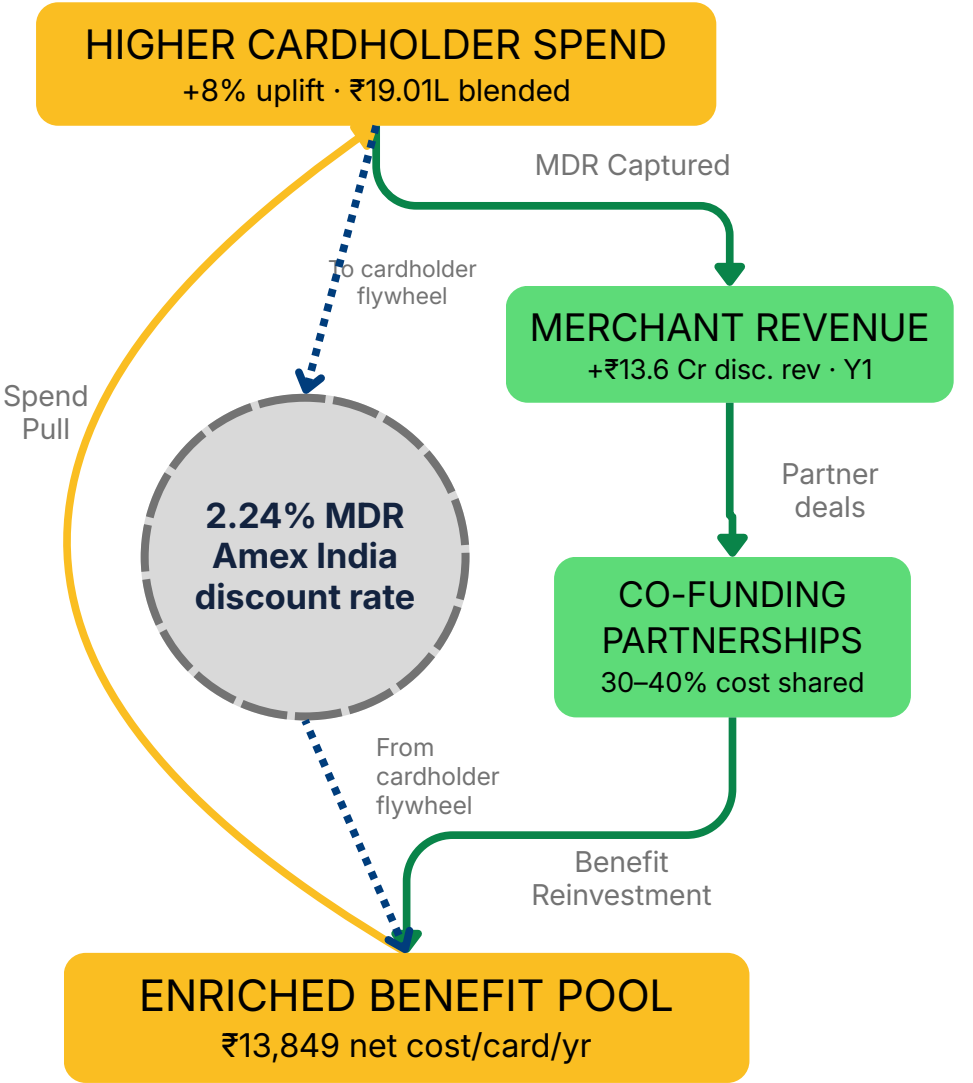
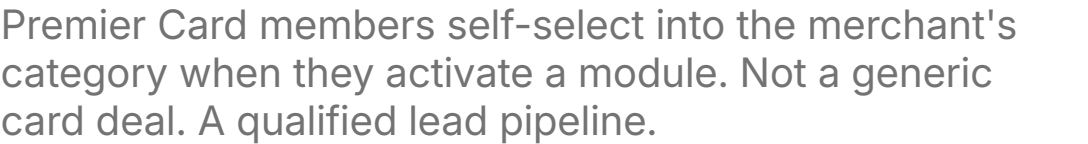
"I chose 2 modules that match my actual spend."

"The fee increase is ₹8K. The value increase is ₹__."

"The card just got 2x better personalized for me."

10%→9%

Attrition impact (the #1 NPV lever) → ₹21 Cr NPV per ±7pp swing ; Every 1pp of retention = ₹3 Cr NPV gain



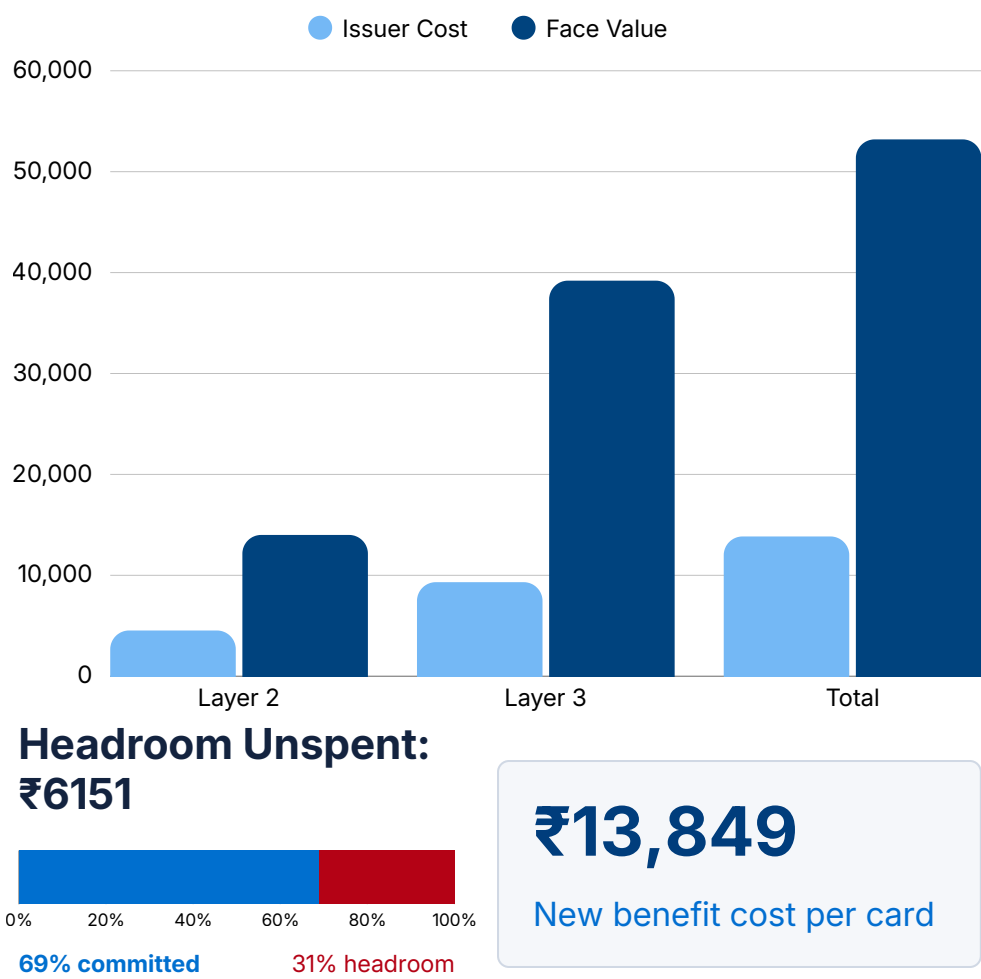
HEADLINE STATS

VALUE LEAKAGE/CARD
₹81,677
face value unfelt annually

CARD BASE GROWTH
40K → 65K
+63% over 5 years vs counterfactual

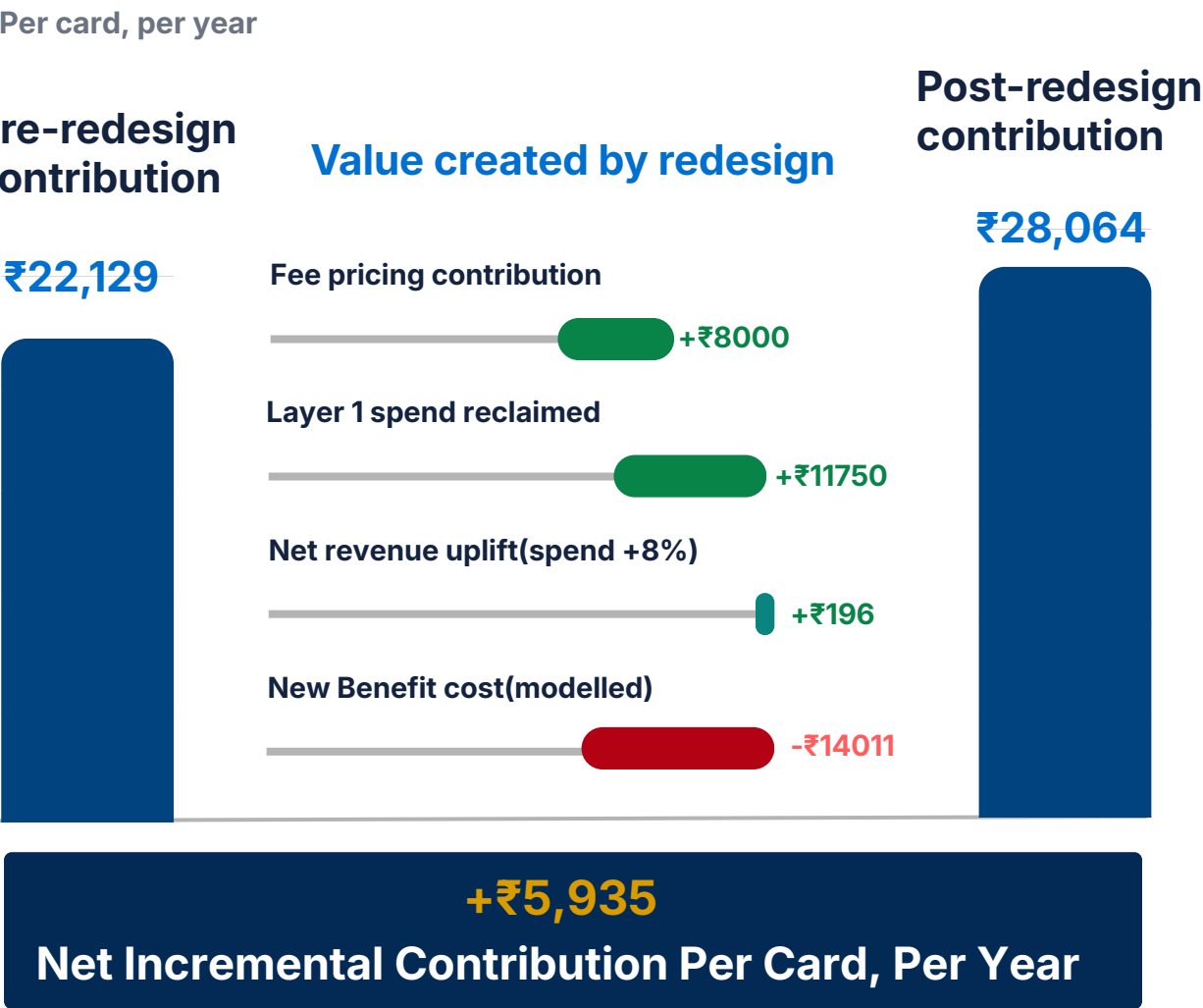
5-YEAR NPV
₹132 CR
@ 8.3% WACC ·
payback Y1

01. Cost vs the ₹20K Ceiling



Layer 1 retained cost (₹38,900) sits outside the cap - it is existing spend, not incremental. Even the heaviest segment (Whale, ₹45L spend) lands at ₹18,483, still inside the ₹20,000 ceiling.

02. How the redesign creates value



Reclaim = retire golf (₹500) + resize the Fine Hotels credit 50% (₹7,400) + supersede the renewal voucher with the Milestone Ladder (₹3,850). Design-case cost is ₹13,849; the ROI model runs the costlier ₹14,011 case - both inside the cap. The redesign is ~85% self-funded.

03. The 5-Year Return

Scenario	Spend	Attrition	5-yr NPV
Downside	0%	10%	₹126 Cr
Base case	+8%	9%	₹132 Cr
Upside	+12%	8%	₹137 Cr

Every scenario clears zero — even -5% spend with 15% attrition stays NPV-positive.

What actually moves the number

Lever	NPV swing
1 · Attrition rate ±3pp	₹21 Cr
2 · Discount rate ±2pp	₹14.5 Cr
3 · Spend uplift ±7pp	₹9.5 Cr

₹5.5 Cr in Year 1 NPV saving

Payback in Year 1 < ₹174.7 Cr out

"Isn't this just a price increase?"

No. At ₹60,000 with no redesign, the same model returns NPV -₹22 Cr. The redesign is what makes ₹68,000 collectible - 92.8% fee acceptance and attrition falling from 10% to 9%. The benefits earn the price; the price does not earn itself.

Model basis: 40,000 cards · fee ₹68,000 ex-GST vs ₹60,000 baseline · spend uplift +8% · attrition 9% vs 10% baseline · fee acceptance 92.8% · WACC 8.3% · MR ₹0.26/pt · Y0 investment ₹5.5 Cr (app build + launch marketing) · Source: Platinum 365 financial model, Tabs 3–6

Sources: <https://www.cnbc.com/2025/09/18/american-express-platinum-card-refresh-895-fee-3500-perks.html>
<https://rbi.org.in/scripts/ATMView.aspx>